

# BULLS V/S BEARS

Let us take a quick detour and understand the composition of the market and the creation process of candlesticks. The market for any asset contains two kinds of participants – Short (Bear) and Long (Bull).

Bears refer to those people who benefit when the price of the asset goes down. They bet against the asset i.e. the price of the asset will fall. Bulls are those people that benefit when the price of the asset goes up. They bet for the asset i.e. its price will increase. Bears profit at the expense of bulls and vice versa.

Short term price movement of any asset can be compared metaphorically to the brawl between bears and bulls. At some points, the bulls are in charge and more powerful than the bears (price increases during this phase) and during other times the bears are in charge over the bulls (the price of the asset falls in this period). So, this constant fight between bears and bulls is what determines the short term movements and fluctuations in the price of assets.

Next, we will look into the impact of the fight on candlesticks and our analysis of the same. So, we can say that candlesticks are a pictorial representation of the constant tussle between bears and bulls. It represents the behaviour of the two and portrays who is gaining power and losing power. As we saw earlier, when similar circumstances arise, we expect the future to rhyme with the past if not be an exact copy of the past. Thus, we will take positions based on the behaviour of bears and bulls in the market.

We will now understand the candlestick patterns and their benefits, comprehend the behaviour of bulls and bears and the market psychology that influences the candlestick patterns.

